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EARNINGS CALL TRANSCRIPT

SpaceX (SPCX) Q3 2026 Earnings Call Transcript

Revenue surged 161% to $14.6 billion as compute and Starlink subscriber growth accelerated.

By Motley Fool Transcribing (/author/20032/) – Oct 20, 2026 at 8:38PM EST

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DATE

Tue, Oct 20, 2026

CALL PARTICIPANTS

- Head of Investor Relations - Andrea Williams
- Chief Executive Officer - Elon Musk
- President and Chief Operating Officer - Gwynne Shotwell
- Chief Financial Officer - Bret Johnsen

TAKEAWAYS

- **Revenue** -- $14.6 billion, up 161% year over year driven by the ramp of cloud services agreements and Starlink subscriber growth.
- **Net Income** -- $4.4 billion, representing an improvement of $5.5 billion compared to a net loss of $1.1 billion in the prior year period.
- **Adjusted EBITDA** -- $8.8 billion, a 306% increase year over year reflecting operating leverage in the Connectivity and Super Intelligence segments.
- **Super Intelligence Revenue** -- $7.6 billion, up from $813 million last year due to the activation of new nameplate compute capacity and the Cursor acquisition.
- **Connectivity Revenue** -- $5.2 billion, growing 69% year over year supported by a 57% increase in consumer revenues and a 91% rise in enterprise and government revenues.
- **Space Revenue** -- $1.8 billion, a 6% increase year over year anchored by a favorable customer launch mix despite a lower total launch count compared to the prior year.
- **Starlink Consumer Subscribers** -- 13.6 million, with 1.6 million net additions in the third quarter primarily from developed markets.
- **Starlink Mobile Users** -- 22 million monthly users, a 37% increase quarter over quarter following service expansions in countries such as Uganda and Kazakhstan.
- **Nameplate Compute Capacity** -- 1.7 gigawatts, an increase from 1.4 gigawatts in the second quarter as the company continued building out the Colossus II cluster.
- **Capital Expenditures** -- $19.6 billion, focused on the buildout of Super Intelligence infrastructure, Starship development, and satellite production.
- **Q4 Capital Expenditure Guidance** -- $35 billion to $40 billion, reflecting the accelerated build path for compute infrastructure at sites in Memphis and Southaven.
- **Q1 2027 Revenue Guidance** -- $33 billion to $37 billion, based on increased visibility into the compute contract pipeline over the next six months.
- **Starlink Consumer ARPU** -- $69 per month, a 5% sequential increase attributed to shifting customer mix dynamics.
- **Cursor Acquisition Contribution** -- $608 million in revenue, representing the post-acquisition results from Aug. 14 to Sept. 30.
- **Backlog** -- $63 billion, with $42 billion expected to be recognized as revenue within the next 12 months.
- **Enterprise and Government Aviation** -- 12,000 aircraft contracted, with over 3,800 planes currently equipped with Starlink hardware as of the end of the quarter.

- **Starship Bandwidth Deployment** -- 26 terabits per second, delivered by the Starlink V3 satellites launched during the Flight 14 mission.
- **Mass to Orbit Share** -- 90%, representing the company's portion of total global mass launched to orbit during the third quarter.
- **Grok Bot Weekly Users** -- 800,000 paid users, more than doubling over the previous month following its launch in August.
- **Compute Nameplate Target** -- 2.5 gigawatts to 3 gigawatts, expected to be online by the end of the fourth quarter.
- **2027 ARR Target** -- $500 billion to $1 trillion, representing management's goal for the annualized recurring revenue run rate by the end of 2027.
- **Compute Deployment Pace** -- 20,000 GB300 units per month, representing the current rate of bringing new graphics processing units online.
- **Grok Enterprise Growth** -- 50% quarter-over-quarter increase in customers with more than $1 million in run-rate revenue on a pro forma basis.
- **Launch Count** -- 35 total launches, consisting of 12 customer missions and 23 internal flights during the third quarter.
- **Advertising Revenue** -- $538 million, representing a 19% year-over-year increase as the company builds momentum on its new advertising technology platform.

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RISKS

- Musk warned that the success of the upcoming Flight 15 booster and ship catch is uncertain, noting that while the company has a steady stream of attempts planned, a positive outcome is not assured for the initial flight.
- Musk stated, "the special committees have not reached agreement on the terms of any transaction. And obviously, there's no guarantee that they will," regarding the possible combination of SpaceX and Tesla.
- Musk stated, "I think we're going to face a shortage of super intelligence compute. And that shortage is going to remain for a long time," identifying infrastructure and power as primary constraints.

SUMMARY

Space Exploration Technologies Corp. (SPCX (/quote/nasdaq/spcx/) -0.11%) reported a period of significant scaling as management transitioned the company toward a vertically integrated infrastructure provider across launch, connectivity, and super intelligence. The company achieved a record 90% share of global mass to orbit while simultaneously accelerating the deployment of its terrestrial compute clusters to reach 1.7 gigawatts of nameplate capacity. Management stated that the combination of launch leadership, recurring Starlink revenue, and the expansion of Super Intelligence infrastructure is driving meaningful operating leverage. The company is aggressively investing in Starship development and next-generation satellite constellations, with fourth-quarter capital expenditures projected to nearly double sequentially to support the accelerated build path of its compute centers.

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- Management announced the development of the Louisiana spaceport, with Musk stating the facility will eventually include "on the order of 20 or more launch towers" to enable millions of tonnes to orbit annually.
- The company expects Starship to reach a weekly launch cadence in the first half of 2027, accelerating to twice weekly or higher by the end of that year as rapid reusability is finalized.
- Musk indicated that the company prefers short-term compute rental contracts at spot market rates, stating, "our belief is that the value of compute per watt will increase over time, not decrease."
- SpaceX is leveraging its proprietary rocket engine casting technology to manufacture terrestrial turbine components, which Musk claimed allows the company to bring power online 12 to 18 months faster than competitors.
- Management detailed a multi-year semiconductor road map, aiming for a test chip in mid-2027 and volume production at the Terafab facility by the third quarter of 2028.
- Gwynne Shotwell reported that aviation production rates have quadrupled since the beginning of the year, with a goal to double that rate again before the end of the year to meet aircraft demand.
- The company entered into an agreement to acquire 800 megahertz low-band spectrum, which management stated will pave the way for Starlink Mobile to become a major mobile carrier in the United States.

INDUSTRY GLOSSARY

- **Starlink V3**: The third-generation satellite in the Starlink constellation, delivering significantly higher bandwidth capacity per launch compared to previous versions.
- **Colossus II**: The company's massive supercomputing cluster located in Memphis, utilized for training and inference of super intelligence models.
- **Terafab**: The planned high-volume semiconductor fabrication facility designed to produce super intelligence chips.
- **Grok Bot**: An agentic super intelligence assistant designed for both consumer use and enterprise workflows.
- **GB300**: High-performance graphics processing units used in the buildout of super intelligence compute infrastructure.
- **Starfall**: A space capsule designed to provide routine, low-cost access to microgravity environments for scientific and medical research.
- **Starmind**: A next-generation satellite constellation focused on high-bandwidth super intelligence connectivity.
- **Nameplate Compute**: The total theoretical power capacity of a data center or supercomputing cluster, measured in gigawatts.

Full Conference Call Transcript

Andrea Williams: Hello, everyone. We are coming to you live from our Starlink factory and future Starmind production site here in Bastrop, Texas. I'm Andrea Williams, Head of Investor Relations, and thank you for joining us for SpaceX's Third Quarter 2026 Earnings Presentation. Joining us are Elon, Gwynne, and Bret, and we are live streaming on X. Our third quarter

financial results were announced just after 3:00 p.m. Texas time, and all relevant materials have been published to our Investor Relations website at ir.spacex.com. For today's presentation, our prepared remarks will be followed by a question-and-answer session.

We will take live Q&A from equity analysts and then move to questions directly from our investors that were polled on our dedicated earnings Q&A platform, which the SpaceX team built with Grok. During this webcast, we will discuss our business outlook and make forward-looking statements. These statements are based on our predictions and expectations as of today. Actual events or results could differ materially due to a number of risks and uncertainties including those mentioned in our earnings release and the most recent filings with the SEC, including our final prospectus. During the presentation, we may discuss certain non-GAAP financial measures.

In today's earnings release and our filings with the SEC, you can find additional disclosures regarding these non-GAAP measures, including all of the reconciliations with comparable GAAP measures. For the third quarter of 2026, we announced the following financial results as compared to the prior year period. revenues of $14.6 billion, up 161% from $5.6 billion; net income of $4.4 billion, an improvement of $5.5 billion from a net loss of $1.1 billion and adjusted EBITDA of $8.8 billion, up 306% from $2.2 billion. With that, I'll hand the call over to Elon.

Elon Musk: Thank you. So we are in an inflection moment for SpaceX across launch connectivity and Super Intelligence. Starting with Starship, Flight 14 was a critical milestone. Starship made it to orbit for the first time and deployed operational Starlink V3 satellites. I think we have a recap video we're going to play. [Presentation] All right. For Flight 15, which we expect to happen next month, we're going to attempt to catch both the booster and the ship. This will be the -- if we succeed, it will be the first time that an orbital launch vehicle has been fully recovered. This is a massive technology milestone.

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The only way that we can extend consciousness beyond Earth on a sustained basis is with a fully reusable orbital launch vehicle. So this is -- I think this is a profound technology milestone in the history of civilization consciousness. So let's look at what simulation of Flight 15 would look like if we succeed. If we don't succeed in Flight 15, we'll get there. So success is not guaranteed on these first flights, but I'd say it's more likely than not that this succeeds next flight. And if not, we have a steady stream of Starship flight attempts through the end of this year and then accelerating next year. So with that, the Flight 15 simulation.

[Presentation] We've also announced the development of the Louisiana spaceport. So that's going to be an incredible asset to the country and to the world that will, I think, at some point, probably have on the order of 20 or more launch towers and enable the transport of millions of tonnes per year to orbit and beyond. So that's really going to be a big deal. We expect Starship to fly weekly at some point in the first half next year and then second half next year, twice weekly or maybe even more frequently than that by the end of next year. The rate at which we launch Starship will increase dramatically as we solve the rapid and complete reusability.

So we'll have complete reusability. Then at first, there will be a little bit of refurbishment that's needed between each flight, and we'll iron out the need for any refurbishment such that you can immediately land the rocket and launch it again just like an airplane. As I said, this is a profound technology milestone that most people in the world don't realize how important it is, but it will be obvious in hindsight. Starlink is also just getting started. Flight 14 deployed 26 terabits per second of Starlink bandwidth. That's equivalent to 10 Falcon 9 launches. So a single starship launch, which wasn't even fully loaded.

It was about maybe half loaded, and it did the equivalent of 10 Falcon 9 launches. So what I expect over time is, not in the distant future, probably within three years is that we will have about 100x the bandwidth of the current Starlink constellation. So because we will have launched satellites with an order of magnitude more bandwidth, and we will place into orbit an order of magnitude more Starlink satellites. So probably something on the order of 100,000 satellites, each of which have more than 10x the bandwidth of the current Starlink system. So I think revenue for Starlink will be at least somewhat proportionate to the total bandwidth delivered.

And we will also have direct-to-sell, high-bandwidth direct-to-sell capability, and we will be building out our terrestrial network. So there's broad-based connectivity anywhere that space like Starlink are allowed to operate. So anywhere in the world that we're allowed to operate. And I think the demand for bandwidth is going to be dramatically higher than it is today. I think in three to five years, there's probably a demand for 1,000x more bandwidth than there is currently because AI or SI agents will on a per agent basis, use far more bandwidth than a person, and there will be far more agents than there are people.

So this ends up requiring a several order of magnitude increase in communication bandwidth in order to satisfy that communication demand. So talking about SpaceX Super Intelligence, SpaceX SI sexy, whatever. So as I think people are starting to realize the constraint on deployment of super intelligence is more in power and cooling and infrastructure than it is in chips. So what we've done at SpaceX is we've taken a team that has been able to achieve a market share in mass to orbit that is almost 90% of all mass to orbit of earth, where China is about, I think, roughly 6% and the rest of the world combined, including the rest of the U.S. is about 4%.

So a team that has been able to achieve results that are in order of magnitude greater than the rest of our -- of all competitors in space combined and applied that same team to the deployment of terrestrial compute. So this is a bit like the New York Yankees playing in Little League. It's not fair. But the net result is being able to deploy power cooling infrastructure at a rate that is vastly faster than anyone else and may, at some point, be faster than everyone else combined. So I just let that sink in for a minute.

So I've been spending personally a lot of my time in Memphis, often four days a week, night and day, just getting the Memphis Supercompute cluster Colossus II online. We're tracking to be able to bring roughly 200,000 GB300s online per month for every month for the remainder of this year and continuing that pace next year. With next year being primarily Rubin, Vera Rubin compute. At this point, I would say -- I would say I'm fairly confident of being able to bring an incremental 10 gigawatts of compute online in 2027. That would be in addition to the roughly 3 gigawatts, maybe 2.5 to 3 gigawatts that we'll have online by the end of this year.

So I put it this way. I would be surprised if we brought on less than 13 gigawatts of compute by the end of next year. And as I mentioned earlier, we're -- power cooling, electrical equipment infrastructure is somewhat of a limiting factor. So to make sure that, that is not a constraint for our build-out, we're actually going to aim for an incremental 20 gigawatts of power cooling and infrastructure next year. So that the amount of power and cooling that we have is far in excess of what is needed for -- to turn the GPUs on. So there's a non-zero possibility.

Maybe it's a small possibility at this point, but it's not zero, of having -- of SpaceX having over 20 gigawatts of Super Intelligence compute online next year. A small possibility, but it used to be zero, it's not zero anymore. We're also planning to

have the most powerful training cluster online by the end of Q2, which will be 440,000 Vera Rubin computers deployed for optimal training. This will, I think, be extremely helpful for getting Grok to be potentially the best model, but certainly to be extremely competitive. So on the Grok bot side, we're seeing the fastest growth of a product that I've ever seen in my life for Grok bot.

I've never seen anything grow this fast. We're also seeing that the usage of Grok bot grows over time per user, it does not decline. So as we make Grok bot more useful, it's actually -- we're seeing users use it more per week, not use it less. And we'll be deploying Grok Bot at scale for enterprise customers, which is a very big deal, so they can be used effectively in teams by companies as though we're a virtual human. We already are in early deployment with some trusted customers, and we expect to be in wide deployment within a few weeks for enterprise customers for Grok bot.

I think Grok bot may end up being what uses most of our Super Intelligence compute. So I mean in a nutshell, what this implies for SpaceX annual recurring revenue by the end of '27 is somewhere between $500 billion and $1 trillion. Bret? Are you going next, sorry.

Elon Musk: Sorry. I thought on that crazy note, I thought.

Gwynne Shotwell: On that crazy note.

Elon Musk: Yes, I don't want to give Bret a heart attack.

Gwynne Shotwell: Thanks, Elon. So we had an exceptional execution and quarter again. And today, I'll focus both on the operational and the commercial highlights as well as talk about the priority initiatives for next quarter. Showing a slide with the KPIs, and I'll go ahead and walk through it. Starting with our Space business. We remain the leading launch provider for the world, flying the vast majority of payload mass to orbit. During the third quarter, our 35 launches included 21 flights of Starlink on Falcon 9, 2 flights of Starship, a Falcon Heavy, which I'll talk about in a second; and 12 high-profile customer missions, including the Falcon Heavy launch, which we flew NASA's Roman Space Telescope into deep space.

We also flew six national security space launch missions. We've also secured important new business, winning three additional human space flight missions on Dragon, which will take us through 2028, along with the Starlink Communications contract on NASA's Artemis III mission. In addition, we signed 18 new national. Security space launch missions, a contract to deliver payload to the lunar surface with Starship and three new Starfall missions on Starship. We just did a Starfall mission today, by the way, on Falcon 9.

Starfall is our space capsule, which provides routine access -- routine relatively low-cost access to microgravity environments for scientific research, including improving our understanding of diseases like cancer and diabetes and developing better protocols for patients here on Earth. During the final week of the quarter, we flew Starship Flight 14 to orbit, as Elon talked about, followed just after on October 1 by a triple header. We threw three Falcon missions across our three Falcon launch sites in just 13 hours. Crew-13, we brought safely to the International Space Station, a Falcon-heavy NRO mission and a rideshare mission flying 130 payloads.

It's incredible display of what we can deliver in a single day across crew, commercial and national security missions. We're also incredibly excited for what's ahead for Starship, flying the largest payloads to help build the space economy in orbit and on other planets and the moon. As Elon said, Starship's Flight 14 was a major technical milestone, and we remain on track with our goals to bring back both the first and second stages to the tower this year, refly the second stage by early next year and ramp our launch cadence as we make progress towards rapid reusability. We'll attempt an on-orbit refueling early next year, and we'll begin flying Mobile V2 and Starmind satellites in 2027.

We have had significant constructive engagement with the FAA, and we expect the license for our Flight 15 to include return to launch site and tower catch for both stages. I'm also extremely excited about expanding the Starship operations to Louisiana with the second Louisiana purchase. The geography of Louisiana, the community and their work ethic is so aligned for an amazing Starship future. Moving on to Starlink. We had another standout quarter, driven by continued growth across both our consumer, enterprise and government businesses. We ended the quarter active in 174 markets, including new market launches for Vietnam and Uganda.

Looking at subscriber growth, we added 1.6 million consumers, not total users, but consumers in the quarter, reaching just under 14 million global broadband consumer subscribers. As I mentioned, this number does not include additional hundreds of thousands of enterprise subscribers and aviation customers. We remain incredibly inspired by the impact of Starlink on communities around the world, including providing service to hundreds of thousands of students and teachers in schools globally as well as for emergency response during natural disasters. Over the third quarter, Starlink's rapid response capabilities enabled support across 25 crises, including the Venezuela earthquake, the earthquake in Western Colombia and Hurricane Lowell in Hawaii.

In Venezuela alone, Starlink donated over 1,400 kits to response agencies, providing critical Starlink broadband connectivity to over 250,000 people. As we mentioned last quarter, we continue to see significant growth opportunities on the enterprise and government side of the business with aviation a continuing major focus and fixed site gaining momentum. Starlink is now contracted for roughly 12,000 planes, almost 1/4 of the available aircraft, and we're expanding quickly with both new and existing customers. We signed agreements with three of the four major U.S. carriers, along with a growing list of leading international airlines. During the quarter, Lufthansa, Swiss, Copa Airlines, Korean Air, Austrian Airlines and Asiana Airlines all flew their first Starlink-equipped aircraft.

To keep pace with this demand, we've quadrupled aviation production rate since the beginning of the year, and we expect to double before the end of the year. Our aviation partners report that Starlink has become a key reason customers choose to fly with them, both business travelers who increasingly rely on full connectivity in the skies or even individuals who want to stay connected all the time everywhere. Our data shows Starlink and frankly, our customers tell us that Starlink equipped flights carry higher load factors on the planes and full connectivity is quickly becoming table stakes for passengers. On the government side, Starshield continues to deliver unique mission-critical capabilities, and we see further room for growth.

We remain on pace for enterprise and government revenues to exceed consumer connectivity revenues in the future, each. The successful deployment of the operational V3 broadband satellites on Starship's Flight 14 marks an important step and an inflection point for Starlink. The increased capability from these satellites, as Elon talked about, and the Starship launcher itself will provide additional capacity across markets and enable new sales in high-demand areas. We expect the market for communications to grow far beyond just human communication that we traditionally think about. Connecting cars, robots and the adoption of Super Intelligence will increase communication demands, not in percentages, but in many orders of magnitudes.

In the years ahead, we expect Starlink will represent a significant -- Starlink alone to represent a significant portion of global Internet traffic. In mobile, we continue to expand international partnerships, turning on service with new carriers across multiple countries in the third quarter, including Uganda, the Democratic Republic of Congo, Kazakhstan and Costa Rica. We surpassed 22 million monthly users on Starlink Mobile as of the end of the quarter, up 37% quarter-over-quarter. Our near-term priority remains flying the mobile V2 constellation through next year and integrating our spectrum purchases to turn on service in early 2028.

Just a few weeks ago, we received approval from the FCC to launch 15,000 mobile V2 sats and announced an agreement to acquire a portfolio of low-band spectrum, which will pave the way for Starlink Mobile to become a major mobile carrier in the U.S. Moving to Super Intelligence. The industry continues to demand ever more massive amounts of compute. We're

rapidly expanding capacity to meet both our own needs as Grok and related products scale and those of our cloud service customers. Enterprise feedback on recent model releases has been positive and Grok bot, in particular, is seeing strong adoption out of the gate.

Grok bot, our Agentic Assistant, launched in August, and we already had paid weekly users of 800,000 earlier this month, more than doubling over the last month. B2B is our fastest-growing category with companies increasingly using Grok bot as a force multiplier across sales, marketing, IT and engineering, treating it as an always-on teammate for complex end-to-end workflows. We're also accelerating our Grok model release cadence with significant performance gains expected in the near term -- well, have been and more in the near term. At the same time, the integration of Cursor continues to progress well, strengthening both our product capabilities and our go-to-market reach with a scaled enterprise sales force. Early evidence of this momentum is already visible.

Grok Enterprise customers with more than $1 million in run rate revenue, including Cursor, were up 50% quarter-over-quarter on a pro forma basis. Last week, we further integrated the portfolio by announcing a new scheme that brings together Grok, Grok bot, Cursor and X Premium on a single plan. In review, our business is experiencing extremely strong momentum across all three segments, our engineering teams are scaling Starship and next-generation satellites across broadband, mobile and Starshield, while our commercial teams expand Starlink across aviation, enterprise, government and global markets. At the same time, we're scaling our Super Intelligence business in the key areas of critical compute infrastructure, leveraging our hardware expertise. Now Bret, you get to go.

Bret Johnsen: Thank you, Gwynne. We delivered another strong quarter in Q3. Revenue grew an impressive 161% year-over-year to $14.6 billion, fueled by the continued momentum in the connectivity business and our clear inflection point in the Super Intelligence or SI business. Adjusted EBITDA once again grew faster than revenue to $8.8 billion, up 306% year-over-year. The combination of our launch leadership, recurring Starlink revenue and the significant expansion of our SI infrastructure business have combined to drive meaningful operating leverage in the business. Our balance sheet remains very strong, and our focus on capital allocation continues to keep us in a position to accelerate the pace of innovation that underpins the significant revenue opportunity across all of our businesses.

I'll now walk through the financials by segment. The space revenues of $1.8 billion were up 84% sequentially and up 6% year-over-year, anchored by a favorable customer mix. We're on track to deliver strong growth for the year based on our robust customer manifest for Falcon and Dragon vehicles. As far as capital allocation, we continued to invest in our Starship program, accelerating Raptor engine and vehicle production, advancing Gigabay construction and progressing multiple launch pads at both Starbase and the Cape. And importantly, we secured the location for the next phase of United States space launch leadership in Louisiana. These investments remain essential to unlocking the step change in cost and capacity that Starship will deliver.

Connectivity, again delivered robust revenue growth and profitability with revenues of $5.2 billion, up 69% year-over-year and 22% sequentially. As Gwynne mentioned, we reached 13.6 million Starlink consumer subscribers, adding 1.6 million subscribers just in Q3 alone, driven by growth in more developed markets. During the quarter, we began ramping production of our V5 kits, which supported our progress on alleviating inventory constraints. We strategically managed our channel distribution and prioritized delivery of kits to retail channels ahead of the holiday season, which we expect will lead to increased activations in Q4.

Starlink consumer average revenue per user, or ARPU, monthly average revenue per user increased 5% sequentially to $69 per month, benefiting from a favorable customer mix dynamic in the quarter. Enterprise and government revenues grew 91% year-over-year and 18% sequentially, highlighted by growth in our Starshield program with the United States government and the continued momentum in the aviation industry. Aviation remains a major growth opportunity as we're still early in the

installation phase with many of the largest carriers worldwide and have line of sight into an accelerated activation path into '27 for our key partners.

Connectivity gross profits doubled year-over-year with gross margins of 55%, including a onetime benefit of roughly 3%, primarily driven by tariff refunds in the quarter. Excluding the onetime benefits, though, adjusted EBITDA margins expanded roughly 2% year-over-year. Looking ahead, the satellite road map is a key driver of both the capacity and capability of our Connectivity segment. Through the end of the year and throughout 2027, we expect to deploy V3 broadband satellites in meaningful volume with each Starship launch ramping towards a payload that delivers over 20x the downlink capacity of the current generation of Falcon 9 launches today.

In parallel, we will ramp Starlink Mobile V2 satellites on Starship starting in 2027 and leverage our newly enhanced wireless spectrum portfolio to expand our direct-to-sell service and become a major mobile carrier, as Gwynne mentioned, in the United States. Across all three of our connectivity applications, Starlink Broadband, Starlink Mobile and Starshield, the launch cadence on Starship is expected to drive a step change in total capacity coverage and service quality. SI or Super Intelligence was again the standout growth driver for the quarter. segment revenue increased substantially to $7.6 billion, up $5 billion quarter-over-quarter and $6.7 billion year-over-year, primarily powered by the ramp of our cloud services agreements.

We meaningfully improved the segment's profitability profile as we monetize newly deployed capacity and delivered powerful operating leverage for the business. We ended the third quarter with 1.7 gigawatts of nameplate compute capacity with additional data halls already online in early October. For SI Solutions and Infrastructure, revenues were $7 billion, of which $608 million came from the Cursor acquisition closed roughly mid-quarter. And even excluding Cursor, SI Solutions and Infrastructure revenues grew 192% sequentially, driven primarily by the activation of new cloud services agreements. There are many customers asking for compute, and we're actively building the supply to meet both internal and external demand.

We expect to have additional new customers in future deals and we'll continuously evaluate the highest margin usage for our compute assets across both new and existing cloud service agreements and serving inference for our own SI products. What we're seeing in the market is extraordinary. At current pricing, new compute deployments are generating a payback of less than a year. Pricing is currently tracking slightly above the high end of the $30 to $50 per watt range we were discussing just last quarter, which further supports the attractiveness of these terrestrial SI compute investments.

We'll continue to be demand-led and prudent in the pace of deployment, matching our disciplined and proactive capital planning for procurement of semiconductor supply to the near-term customer demand. Our current customer contracts for SI compute have the benefit of allowing us to flexibly manage our capacity for our own model training purposes as well as be able to monetize for our SI cloud service agreements revenue at favorable pricing as the market availability continues to tighten. Advertising revenues grew 19% year-over-year as we build more momentum on the new advertising tech platform that we rolled out just last quarter in Q2.

SI segment adjusted EBITDA was $5 billion, up $3.8 billion quarter-over-quarter and $5.4 billion year-over-year, driven primarily by higher-margin cloud service agreements. SI segment operating income was $431 million, but excluding the $1.2 billion of stock-based compensation expense related to the Cursor acquisition, the segment delivered $1.6 billion of operating profit just in Q3. Double-clicking on the share-based compensation expenses, of the $60 billion equity value for Cursor when we purchased it, $23 billion was attributed towards retaining key employees and replacing outstanding equity awards, including revesting agreements for key executives. These equity awards will be recognized as stock-based compensation over roughly the next 3-year vesting period.

Total company capital expenditures in the third quarter were $19.6 billion, primarily in support of our SI compute build-out, starship infrastructure and satellite production. We ended the quarter with substantial backlog totaling $63 billion as of September 30, of which $17.5 billion was recognized as deferred revenue. Approximately $42 billion of this backlog is expected to be recognized within the next year. Looking ahead, demand remains robust across all three segments, particularly in our cloud services business. We remain on track to deliver our previously stated goal of $100 billion in ARR by the end of this year, defined as annualized revenue based on the month of December.

SI infrastructure continuing to come online at Memphis and Southaven gives us visibility into an accelerated build path through the remainder of this year. As a result, we're on track to reach nearly 2.2 gigawatts of nameplate compute at the end of this month alone in October and have a clear line of sight, as Elon highlighted, to nameplate compute in the range of 2.5 to 3 gigawatts just by the end of this quarter. Because of the additional capacity coming online this quarter, we expect fourth quarter capital expenditures to now be in the range of $35 billion to $40 billion for this quarter.

We also expect total company gross margins in Q4 to be more consistent with the second quarter given some onetime benefits and customer mix that we highlighted in Q3. Given the increased visibility into our compute contract pipeline over the next 6 months, we have the opportunity to provide additional look-forward guidance on the acceleration we see in our business in Q1 2027. We now see total company revenues in the range of $33 billion to $37 billion for Q1 of 2027. In closing, we are in a transformative phase for the company's financial profile.

We're investing aggressively across SI compute, Starship development and production and next-generation Starlink broadband and mobile constellations, the three areas we believe will generate the highest long-term returns. These are demand-led investments in markets with visible, tangible returns in the near term. We're building the infrastructure of the future with discipline, focused on capital efficiency, strong returns on invested capital and maintaining a strong investment-grade balance sheet while still moving with the velocity to capture the opportunity in front of us. The combination of our diversified earnings base, focus on extreme vertical integration and the robust demand in the market for Super Intelligence gives us conviction in the path ahead. With that, I'll turn it back to Andrea.

Andrea Williams: Thanks, Bret. We're now going to begin the Q&A section. *[Operator Instructions]*. We will take the first question from Adam Jonas at Morgan Stanley.

Adam Jonas: First, Elon, thank you for making flying cars real.

Elon Musk: You're welcome.

Adam Jonas: That was freaking insane. It's my first comment.

Elon Musk: [indiscernible], and that's one of them.

Adam Jonas: It's super inspiring for people all over the world, especially young people that want to build. I got a two-part question on Terafab. You want to make chips. You want to make crazy amounts of chips onshore or in a safe and secure place. So, first, can you confirm if SpaceX has placed orders for EUV machines? If so, when do you expect delivery? And just as a second part to the question, when you take a first principles approach to the semi fab supply chain, I know you've toured TSMC, ASML, AMD, Lam, these are very impressive companies, as I'm sure you'd agree.

Where do you see the biggest areas to improve their processes and supply chain when you do it your way?

Elon Musk: Well, I mean, we're just figuring out chip fabrication. So but I'll give it -- I'll tell you what our internal expectations are, which obviously, I put big error bars on this because we don't know if we will actually achieve this or not. But it's what we're aiming for internally is to make our first sort of test chip functional in approximately May or June of next year. That's

just a kind of a SRAM chip something that basically test the line. That's at the research fab in Austin. And we're aiming to -- our aspiration is to reach volume production around Q3 of '28 at Terafab at Gibbons Creek, the main Terafab location.

Now these are very aggressive dates, and we're very appreciative of ASML and all of our other suppliers in accelerating equipment deliveries in order to achieve this outcome. Let's just say that, that outcome of achieving volume production is at least in a set of possible outcomes for Q3 or Q4 of '28. So these are obviously like insanely fast time frames for chip production. We do have, I think, some significant potential breakthroughs in chip fabrication, but I don't think I should discuss that on an earnings call. Let's not give away the shop here.

But I am optimistic that we will dramatically accelerate chip production and that Terafab will ultimately do what the name suggests, which is to make a terawatt of super intelligence chips per year.

Andrea Williams: We'll take our next question from Doug Anmuth at JPMorgan.

Douglas Anmuth: Great. Elon, can you talk more about just how you're working through those constraints in power cooling and infra and just what gets you comfortable with the 13 gigawatts ending '27? And then, Bret, if you could also help us understand how you're thinking about the funding requirements just as you look out to that kind of capacity?

Elon Musk: Yes. Well, I mean 3 gigawatts of that or very close to 3 gigawatts is what we expect to have done just in the next few months. So you can just look at the rate at which we are actually deploying and turning on compute. What I think you hear from, I guess, other hyperscalers is you don't hear a lot of detail about how many GPUs they're actually turning on every month. And with us, you are. I'm being very as precise as possible about this.

It's absolutely insane to be deploying providing the power and all the electrical equipment, the cooling, the batteries, the networking and everything else that's needed to turn on 20,000 GB300s a month but that is actually what we're doing right now. And that pace will obviously accelerate next year. We're not going to slow down. I don't think -- again, I don't want to -- some of this -- if you say like how we're going to get all this power, let's just say like we actually -- we do have a plan that gets to 20 gigawatts of power and cooling by the end of next year. But that is not something that I should spell out.

That is highly proprietary because if I tell you about it, others are going to try to do the same thing. And I'm not saying we'll have 20 gigawatts of power. I'm saying we have a plan where if everything goes right, we'll have 20 gigawatts of incremental power, I should say, next year. So 23 gigawatts roughly in total. Now I don't expect everything to go right. That's why I said I'm confident of 10, highly confident of 10 next year. And 20 is difficult but not impossible. And I mean, some of the things we're doing, I have mentioned publicly. So we're casting the blades and vanes for the turbines.

So SpaceX already has a very advanced castings capability that was developed for rocket engines. So we have, I think, actually the most advanced casting capability on earth because the demands for castings for rocket engines exceed the demands for everything and anything else you could possibly imagine. So taking that incredible team that has, I think, objectively, the most advanced casting technology in the world and saying, hey, can you guys also make some blades and veins for terrestrial turbines is much easier than what they have done in the past.

And when we talk to the turbine suppliers, they tell us that the blades and vanes are 12 to 18 months behind the rest of the turbine, meaning they can deliver everything except the blades and vanes 12 to 18 months before they can deliver the blades vein. So casting is this really difficult bottleneck. And if anything, it seems to be getting worse. So that means that we can bring power online 12 to 18 months faster than anyone else. That's the kind of advantage that's difficult to replicate. Unless someone else is doing advanced casting -- is building an advanced casting shop, they will be unable to compete with SpaceX in this regard.

And we're looking at many different sources of power, not just gas turbines. There's -- we obviously want to use solar, wind and every other source of power that we can obtain. We think there's also a lot of opportunity for inference compute if you manufacture modular inference compute at the factory level and then such that it's -- the power and cooling are built in at the factory and then you distribute modular inference compute clusters all over the country, if not all over the world. That's about as much as I should say about scaling power and cooling.

But like I said, at this point, I would say I feel highly confident of 10 gigawatts incremental next year, so 13 total. And some number over 20 is -- the probability of achieving that is rising rapidly.

Bret Johnsen: Doug, the second part of your question related to funding. I think we certainly have the advantage related to others in that we are investment grade, have a very strong balance sheet. And there are a number of available pools of debt capital that we are talking to at the moment related to funding this incredible growth. The other really important thing to emphasize is the payback period is very short. And so this capability starts to fund itself in a pretty near-term situation. And so the fact even that we're finishing this quarter with more capability starts the funding mechanism even into the first half of next year. So you have your operational cash flows, first and foremost.

You have multiple pools of capital available in the debt market, especially because of our investment-grade status and strong balance sheet. And then you also have the opportunity from what we've seen to partner with, I would say, the whole value chain related to -- on the vendor and customer side. So there's nothing easy about SpaceX for sure. And so might as well have the finance piece be part of the challenge at the same time. But we have a lot of conviction that we were going to be able to do this in a very measured fashion and continue to keep ourselves in that IG status along the way.

Elon Musk: And certainly, if you look at our track record with respect to capital efficiency, Starship and all of our other projects, you'd be hard-pressed to find any company in the world that is as good at capital efficiency as SpaceX.

Bret Johnsen: Exactly.

Andrea Williams: Next question from Edison Yu at Deutsche Bank.

Xin Yu: I'll echo Adam's enthusiasm about the Roadster. So there's been a lot of reporting, a lot of anticipation of a merger with Tesla. I realize maybe you may be limited on what you can say. But if we take a step back, how do you think about the pros and cons of a potential combination? And as part of that framework, are there any roadblocks that you would need to address before embarking on it?

Elon Musk: I mean this is definitely kind of a question where I feel like I'm tap dancing through a mine field. But -- so I have to be thoughtful about what I say here. I think -- so both SpaceX and Tesla have formed special committees to discuss this idea at the request of shareholders. And these special committees are consist of independent directors. And because I'm a conflicted party, I can't actually be in the discussions of the special committees. So it's sort of -- it's an odd kabuki dance where two groups of people are talking, and I can't be in the conversation.

I mean I don't think we should necessarily assume that -- I think some people out there assume that a SpaceX and Tesla merger is a certainty. And I think that would be overstating it. Do I think it would be a good idea, yes. But at the end of the day, the shareholders have to be supportive of this. And particularly on the Tesla side, we will need a 50% vote of all shares, not just those who vote, but of all shareholders. And that's quite a high hurdle to try to achieve. So and I can just say at this point that the special committees have not reached agreement on the terms of any transaction.

And obviously, there's no guarantee that they will. But I do think there's a lot of merit to combining the companies as we are pretty much in the super intelligence singularity. And -- and there's a lot to be gained from cooperating on developing super intelligent software, chip design, the Terafab, obviously, robotics, mass to orbit with the Starmind constellation.

Gwynne Shotwell: Connectivity.

Elon Musk: Connectivity. So I think it will be a good idea, but it's really up to the special committees of both companies. Like they've got to come up with something, and then that's got to be put to the shareholders as a vote.

Andrea Williams: Next question from Kutgun Maral at Evercore.

Kutgun Maral: I wanted to ask about Starlink Mobile, which has come a long way in a short time, including the recent low-band deal. Even so, there's still some uncertainty about how your spectrum portfolio, even though it's much improved and possibly will continue to grow, can compete with incumbents in the U.S. And part of the unknown for us on the outside is how much coverage and capacity the satellite layer can really provide to bridge the terrestrial gap to peers. So what roles do you expect the satellite and terrestrial parts of the network will play? And how should we think about the traffic mix between them and delivering a 5G-like experience in the U.S.?

And maybe more broadly, how much of the connectivity focus is on traditional retail wireless versus what could be a massive physical AI opportunity?

Gwynne Shotwell: Yes. Let me, Elon can fill in some details, but let me point out that the vast majority of mobile connectivity is actually WiFi, right? I think it's something between 85% and 93% is done through WiFi. And keep in mind, Starlink Broadband does a lot of WiFi work as well. As far as the mix goes, I think we expect that the S-band spectrum will provide the majority. And then obviously, you need the low-band spectrum, the 800 megahertz spectrum to basically penetrate buildings. So if you're not on WiFi, you can still receive the signal.

So I think -- and by the way, I'll correct myself if I'm wrong afterwards, but I think the S-band will carry the majority and then the low-band spectrum will carry less, but provide a critical piece, by the way. And also, we talked last quarter at the last earnings call about smaller kind of not quite tower capable, but smaller radios that we would -- we could put on already installed homes for Starlink, businesses for Starlink, towers as well. So it's not just the spectrum that we've talked about with the S-band. We will basically leverage the real estate from Starlink installs and other towers.

Elon Musk: Yes. I think we probably should do a longer presentation on the game plan for Starlink connectivity and why we think it will ultimately be a business that generates several hundred billion dollars in revenue a year because you are missing some of the pieces that we know about internally. I can say we do see a clear path to several hundred billion dollars a year in connectivity revenue. But I think we should probably describe that in more detail in a forum that's not limited to a few minutes at an earnings call.

Andrea Williams: In fact, we have three minutes left, right?

Elon Musk: Well, we can go a little longer.

Andrea Williams: I'll take the next question from Eric Sheridan at Goldman Sachs.

Eric Sheridan: Maybe if I could turn to the scaling of compute you laid out at the beginning part of the call. When you think about a framework for applying that compute to the external opportunity that presents itself from cloud services relative to the internal needs of that compute for scaling Cursor and Grok bot, how has your view evolved about striking the right balance in that mix? And how to think through the output from a monetization standpoint of what that mix might produce for the business in the next 12 to 18 months?

Elon Musk: Well, the allocation -- the relative allocation of compute to third parties versus internal is something that's going to change from one month to the next. I guess as a rough approximation. Our goal is to kind of split it 50-50, more or less, where half of the compute is used internally and half of it is rented to others. But that number could shift 60-40 one way or

the other. It could -- it's going to be dynamic. And obviously, our approach is to rent at the -- effectively the spot market rate as opposed to sign these long-term deals. Our belief is that the value of compute per watt will increase over time, not decrease.

And the reason for that, I think it should be obvious to people really is that as you improve the AI software, as the models get better and better, they're able to -- you get more useful intelligence per watt. And the value of that compute is proportionate to the useful intelligence per watt. And that's why you see things like even old computers like H100s renting for more than they rented when they were new. And I think that's likely to continue. I think we're going to face a shortage of super intelligence compute. And that shortage is going to remain for a long time.

So I think the smart move is to do short-term contracts and to and essentially to make -- to place the bet on useful intelligence per watt increasing rapidly, which obviously has done. So that's what's happened so far. And also, if you look at, say, how are our short-term contracts renewing? Are they renewing at higher dollars per watt or lower? And we see them renewing at higher dollars per watt, not lower dollars per watt. We are also, frankly, hounded relentlessly by every hyperscaler and by dozens of smaller companies to rent more of our compute. So we could rent out our compute several times over if we said yes to everyone. That's just the situation here.

That's why I posted that sort of video, video me of the Monty Python cheese shop sketch where the guy goes into a cheese shop to get some cheese and they actually have no cheese. And so he goes like, what about this kind of cheese? What about that kind of cheese? And they really just don't have any cheese. So we've actually tried to offload some of our inference compute to other cloud providers so that we can use more compute for training. And we get the cheese shop sketch. They'll say like, well, we'll ask them about what about some GB300s, don't have any of those. What about some GB 200s, don't have any of those.

What about some TPUs? Now what about some trains? No, what about some -- okay, how about some H100s. And like, well, we might have some overseas somewhere, and then they'll check and come back and say, no, we don't have that either. So it's like it's ridiculous. Yes. So I don't think we're going to have a demand issue here. And like it's not impossible. I'm not saying this will happen. It's not impossible that we will have a six-month payback period for compute next year.

Andrea Williams: We're now going to turn to some questions from individual investors that were posted directly on to our public Q&A platform. So we've talked a lot about compute deployment terrestrially, let's move to a question on V3 sats. So when will capacity gains from V3 satellites actually show up as meaningfully higher speeds and lower latency for users? How many V3 sats are needed before the network feels noticeably better in high-demand areas?

Gwynne Shotwell: I think we'll need a few hundred V3 satellites for people to really feel the impact because right now, with very few satellites, you'll get an impact and then 10 minutes later, it won't be there. So a few hundred satellites, and I think we can achieve that by mid next year.

Andrea Williams: Take #6, which is, can you provide an update on Starbase Louisiana? What's the time line? And what's your current confidence level in achieving a first starship launch from the site as early as 2029?

Elon Musk: Well, our internal aspiration for first launch from Louisiana is actually in two years. So '28 would be -- is our goal. But I think '29 is highly likely. I think we'll be at scale launching from Louisiana at scale in '29. Highly confident.

Andrea Williams: Thanks, everyone. This wraps up the Q3 2026 earnings report. Thank you all for tuning in, and we will see you next quarter.

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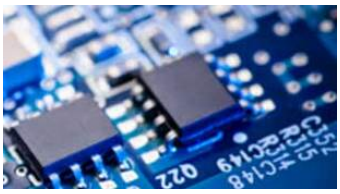
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